## 1.7.5 Differences between Statement of affairs and Balance sheet

| Basis of distinction | Statement of affairs | Balance sheet |
|---|---|---|
| 1. Objective | Statement of affairs is generally prepared to find out the capital of the business. | Balance sheet is prepared to ascertain the financial position of the business. |
| 2. Accounting system | Statement of affairs is prepared when double entry system is not strictly followed. | Balance sheet is prepared when accounts are maintained under double entry system. |
| 3. Basis of preparation | It is not fully based on ledger balances. Whereever possible ledger balances are taken. Some items are taken from some source documents and some items are mere estimates. | It is prepared exclusively on the basis of ledger balances. |
| 4. Reliability | It is not reliable as it is based on incomplete records. | It is reliable as it is prepared under double entry system. |
| 5. Missing items | It is difficult to trace the items omitted as complete records are not maintained. | Since both the aspects of all transactions are duly recorded, items omitted can be traced easily. |

### Illustration 7

On 1st April 2017, Ganesh started his business with a capital of ₹ 75,000. He did not maintain proper book of accounts. Following particulars are available from his books as on 31.03.2018.

| Particulars | ₹ | Particulars | ₹ |
|---|---|---|---|
| Cash | 5,000 | Debtors | 16,000 |
| Stock of goods | 18,000 | Creditors | 9,000 |
| Bills receivable | 7,000 | Cash at bank | 24,000 |
| Furniture | 3,000 | Bills payable | 6,000 |
| Land and buildings | 30,000 | | |

During the year he withdrew ₹ 15,000 for his personal use. He introduced further capital of ₹ 20,000 during the year. Calculate his profit or loss.

### Solution

**Statement of affairs of Ganesh as on 31st March, 2018**

| Liabilities | ₹ | Assets | ₹ |
|---|---|---|---|
| Creditors | 9,000 | Cash | 5,000 |
| Bills payable | 6,000 | Cash at bank | 24,000 |
| Capital (balancing figure) | **88,000** | Stock of goods | 18,000 |
| | | Debtors | 16,000 |
| | | Bills receivable | 7,000 |
| | | Land and buildings | 30,000 |
| | | Furniture | 3,000 |
| | 1,03,000 | | 1,03,000 |



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